

8. Is it possible to close the gap between the rich and the poor in today's world?

Key Terms:

*Gap between the rich and the poor (Manifestations of)

- Social stratification, inequality, absence of social justice, wealth gap, income gap (paraphrased)
- Differences in levels of consumption (such as ownership of cars and other luxury goods, property size, opportunities for overseas travel)
- Differences in types of jobs held and income received (high paying white collar professional jobs usually held by the rich while the poor typically hold low-skilled blue collar jobs that are often low paying)
- Differences in access to exclusive social privileges (such as country club membership)
- Usually the case that the rich is relied upon to fund the needs of the poor
- The rich are perceived as being superior to the poor due to their relative social status and the lopsided nature of the distribution of power and influence

Possible Approach:

- A. Highlight the **measures** taken to attempt to close the wealth gap between the rich and poor (at the individual, state and international levels) and evaluate the **effectiveness** of these measures to achieve this goal
- B. Explain the **reasons** why these measures can never successfully bridge the wealth gap.

Arguments

C1: There has been a concerted effort on the part of various groups and institutions in society, both at the domestic and international levels, to forge some degree of parity in the status of the rich and poor.

R1: Use of measures that seek to manipulate the domestic socio-economic system to achieve the goal of social justice.

- **Welfarism** (which is based on the principles of equality of opportunity, equitable distribution of wealth, and public responsibility for those unable to avail themselves of the minimal provisions for a good life. Typically, it involves the provision of free healthcare such as that in the British NHS, heavily subsidised housing such as those

funded by the US Department of Housing and Urban Development often referred to as 'the projects', and free education), practice of **positive discrimination** (Bumiputra policy in Malaysia for example require a certain proportion of the shares of any publicly quoted company to be in bumiputra hands, and that favour bumiputra-owned firms for various government contracts; US Affirmative Action which allow for preferential treatment in the offer of access to state benefits such as university places), practice of **meritocracy** (a principle of governance often associated with Singapore that rewards hard work and achievement especially in school, that enables those who are poor to enjoy social mobility eventually as they continue to excel with the opportunities they are given), **progressive taxation** (a progressive tax is a tax that takes a larger percentage from high-income earners than it does from low-income individuals. The U.S. income tax system is considered progressive. In 2016, individuals who have under \$9,275 of taxable income pay 10% in income tax, while taxpayers earning more than the benchmark cut-off of \$415,050 fall into tax brackets with rates up to 39.6%), **legislation** (introduction of minimum wage and other labour laws such as the US Equal Employment Opportunity that help to protect the lower income groups from being unfairly exploited by the rich)

R2: Use of measures to ensure social justice at the international level

- **Foreign aid** including those that **involve international institutions** (aid is most commonly provided as official developmental assistance (ODA), which targets poverty reduction and the promotion of public welfare and economic development. The World Food Programme and the United Nations are examples of international organisations that provide significant amounts of aid to developing countries), **state-to-state** (Kenya is a significant recipient of U.S. foreign assistance Improve quality healthcare through nutrition, family planning, and maternal and child health, malaria, tuberculosis, HIV/AIDS and strengthening health programs); **NGOs** (microfinance in Bangladesh has helped many poor people especially women to sustain themselves economically and the support provided by groups like Mercy Corps have helped built almost 100 temporary learning spaces in displacement sites and rural areas where displaced children are sheltering enable children in South Sudan to continue attending school), **economic benefits of globalisation** such as foreign direct investment and free trade pacts, role of **philanthropists** such as Bill Gates and his Bill and Melinda Gates Foundation has helped to fund projects that aim to help the poor get out of poverty and hunger.

C2: However, in spite of Man's best efforts, it is sadly impossible to achieve genuine equality between the different social classes.

R1: Flaws of Human Nature

- The aggravation of the global problem of poverty has much of its roots in Man's character flaws. The inability of the poor to rise up in society is often due to war, disease, famine and debt. War and conflict between nations, or communities within a nation causes vast poverty among the civilian population. But wars are caused by fear of other cultures or by the seeking of power or economic benefit over enemies. Civil wars or violence between governments and "terrorists" or "freedom fighters" have their source in **fear and prejudice**.
- **Greed** as a root cause of poverty brings about unequal distribution of resources, unfair trade, conflict and unethical debt. The role of Multi-National Corporations (MNCs) is significant in aggravating this problem (exploitation of poor countries, breeding political corruption)
- **Apathy** is another cause of the global wealth gap. The indifference of many people (especially among the rich) towards the plight of others has made it difficult to get people to join various charity groups as volunteers or to support humanitarian causes.
- **Indiscretion** is another significant cause of the wealth gap: the poor tend to have weak money management skills and lack foresight when planning for the future (little savings, reckless spending) whereas the rich often exercise prudence when it comes to money matters

R2: III-effects of Capitalism

- The benefits of Capitalism are rarely equitably distributed. Wealth tends to accrue to a small percentage of the population, specifically the **capitalist class that own the means of production in a country**. In defence of their own self-interest, the rich often oppress the poor by keeping wages as low as possible.
- In a capitalist society it is much easier to make money if you already have money, and much more difficult if you are poor. More importantly, at the very heart of capitalism lies an incentive that leads to the increase of inequalities. Capitalism is based on the principle of **competition**, and businesses must compete with one another in order to survive. Each company, therefore, strives to **maximize its profits** in order to achieve a competitive advantage.
- Capitalist culture (crony capitalism) engenders a mindset among **politicians** that leads them to **craft public policies in favour of the rich** and powerful, and turn their backs on the poor. This is because very often, politicians are beholden to the capitalist class that fund their re-election campaigns.

R3: Geographical Constraints

- The wealth gap between rich and poor countries can also be explained by the **uneven distribution of natural resource wealth** as well as differences in **resource management strategies**. Developing countries near the Equator lack arable land (agriculture) and the poor are confronted with a host of problems including **disease and famine**, often on a massive scale. Resources devoted towards alleviating these problems means that less resources can be devoted to technological innovation and infrastructure development.